

Airline Loyalty — Executive Overview

16737

Total Customers

15.7%

Churn Rate %

2633

Behavioral Churners

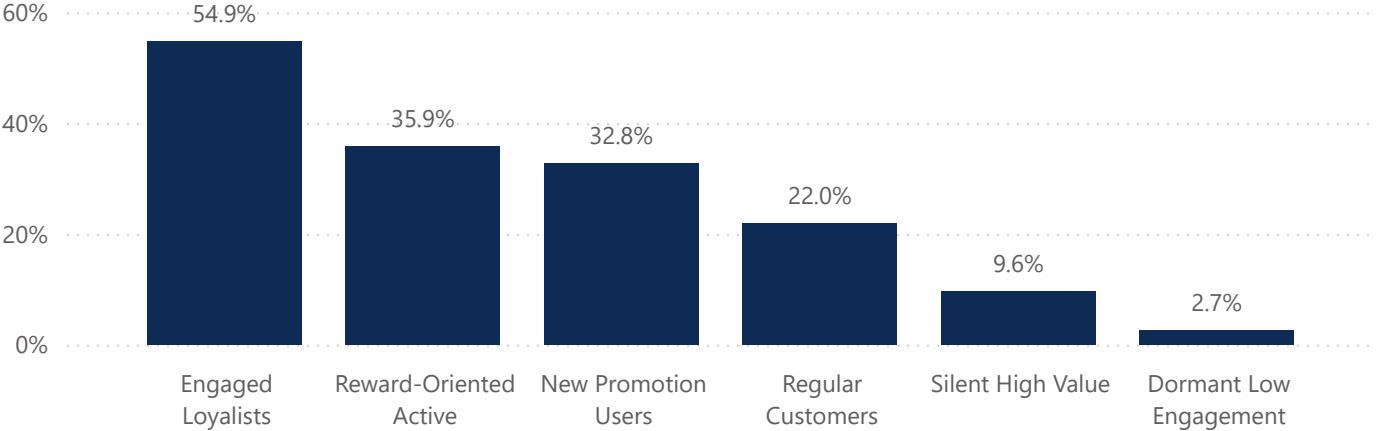
30.1%

Avg Engagement Score

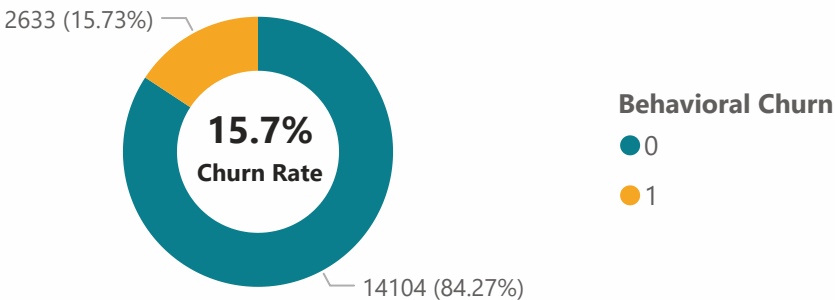
660

Silent High Value Count

Avg Engagement Score by Customer Segment

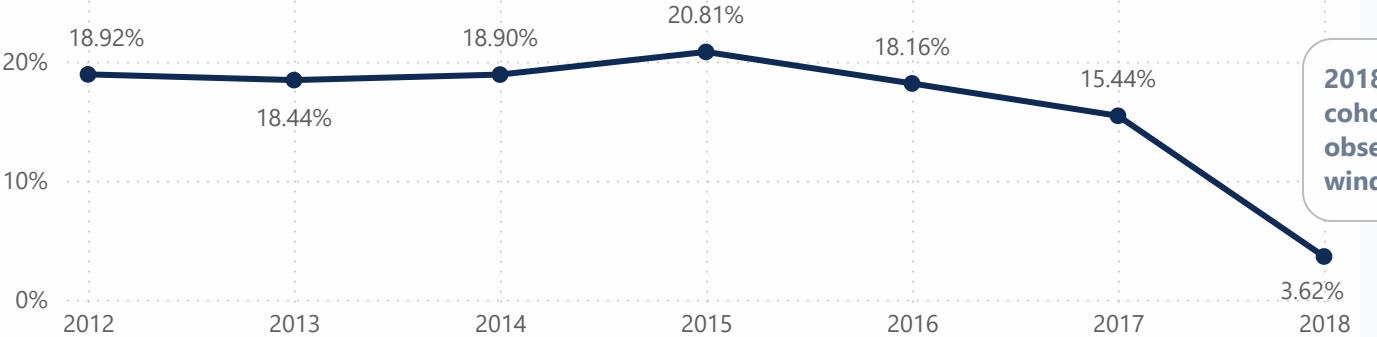


Overall Churn Distribution



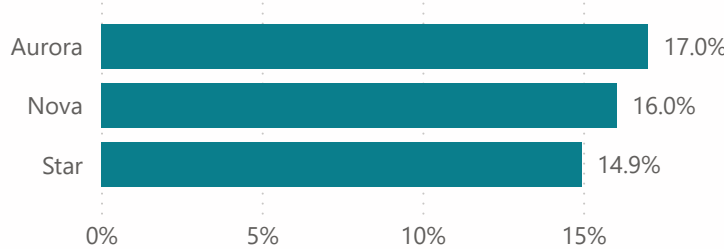
Reward redemption is strongly associated with retention. Redeemers exhibit substantially lower churn than non-redeemers.

Churn Rate by Customer Enrollment Cohort



2018 Promotion cohort — short observation window

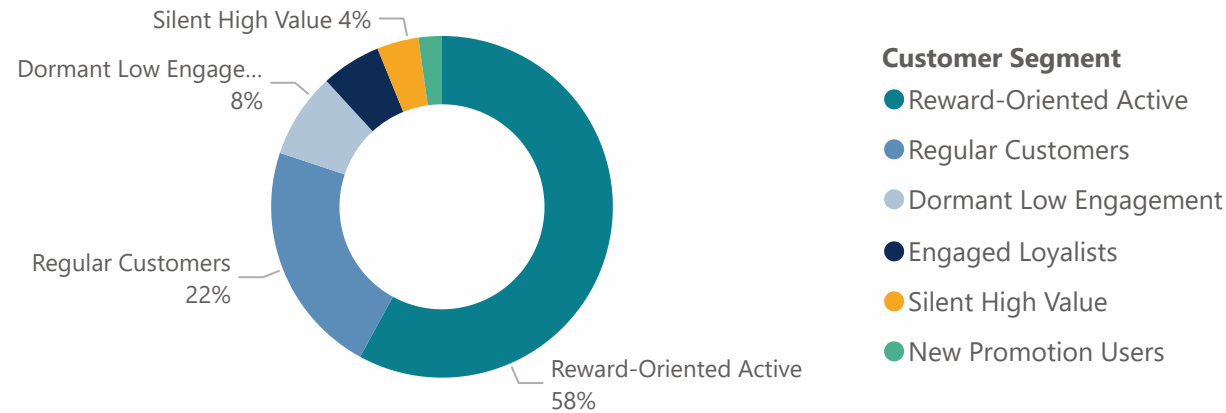
Churn Rate by Loyalty Tier



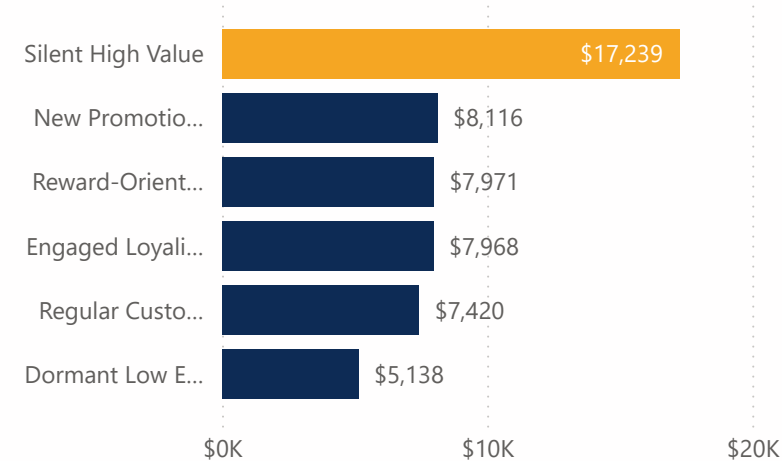
Tier differences are minimal (14.9%–17.0%) — tier alone does not predict churn risk

Customer Segmentation Analysis

Customer Base Breakdown by Behavioral Segment

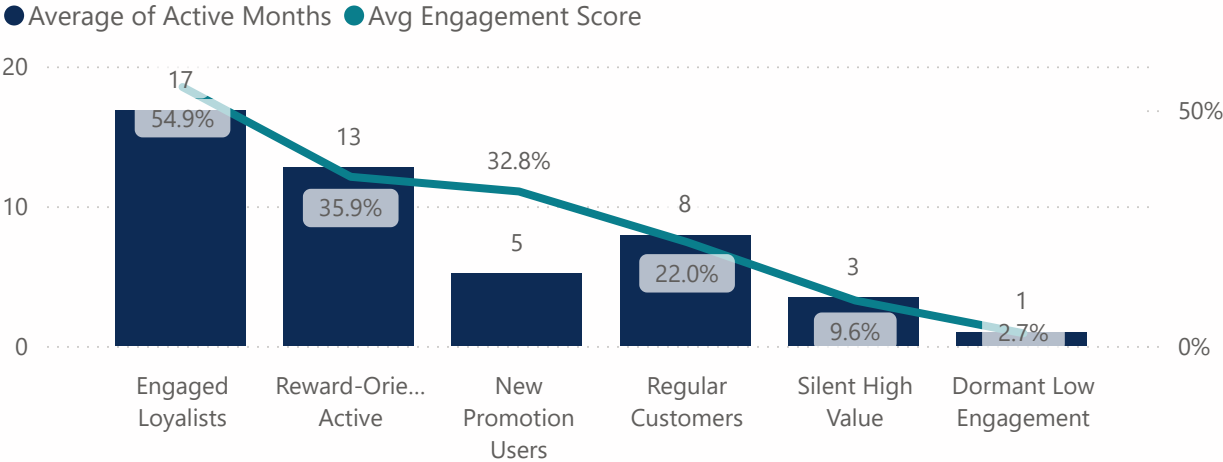


Average Customer Lifetime Value by Segment



Engaged Loyalists and Reward-Oriented Active users exhibit the highest engagement levels.
Silent High Value and Dormant Low Engagement customers require immediate retention attention.

Customer Engagement by Segment



Segment Metrics Summary

Customer Segment	Customer Count	Avg CLV	Avg Flights	Avg Active Months	Avg Engagement	Churn Rate %
Reward-Oriented Active	9700	\$7,971	35.08	12.77	35.9%	0.0%
Regular Customers	3708	\$7,420	21.41	7.94	22.0%	16.8%
Dormant Low Engagement	1350	\$5,138	2.53	1.00	2.7%	100.0%
Engaged Loyalists	948	\$7,968	58.48	16.84	54.9%	0.0%
Silent High Value	660	\$17,239	9.44	3.45	9.6%	100.0%
New Promotion Users	371	\$8,116	42.70	5.19	32.8%	0.3%
Total	16737	\$7,989	29.91	10.44	30.1%	15.7%

Churn Intelligence Dashboard

\$17.2K

SHV Avg CLV

11.4M

CLV at Risk

660

Silent High Value Churners

2633

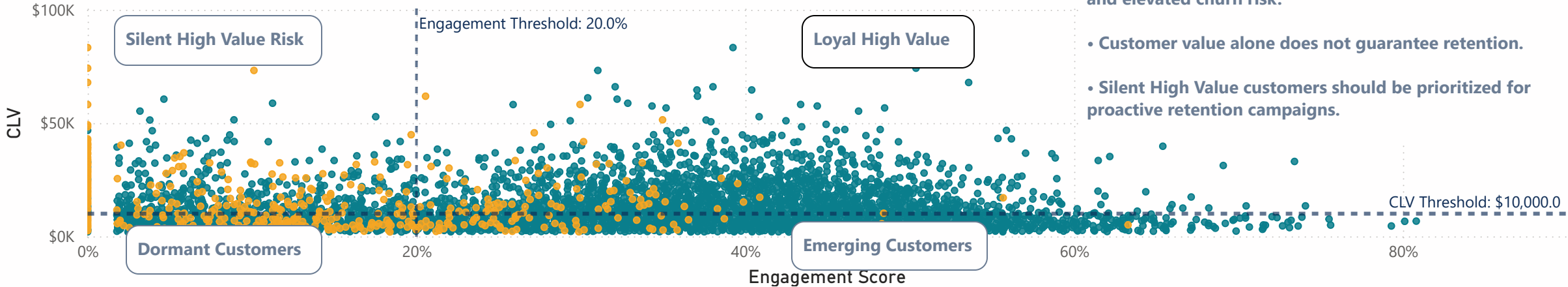
Behavioral Churners

8,156

Avg CLV of Churners

CLV vs. Engagement Score — Identifying Silent High-Value Risk

Behavioral Churn ● 0 ● 1



Silent High Value Customers — Sorted by CLV

Loyalty Number	CLV	Total Flights	Active Months	Engagement Score	Loyalty Card	Enrollment Year
652627	\$83,325.4	0	0	0.0%	Star	2015
844145	\$74,228.5	0	0	0.0%	Nova	2015
767366	\$73,226.0	8	4	10.1%	Aurora	2017
838263	\$67,907.3	0	0	0.0%	Aurora	2012
592992	\$61,850.2	21	7	20.6%	Aurora	2013

Retention Action Center

\$17.2K

SHV Avg CLV

660

Silent High Value Count

11.4M

CLV at Risk

Recommended Retention Actions

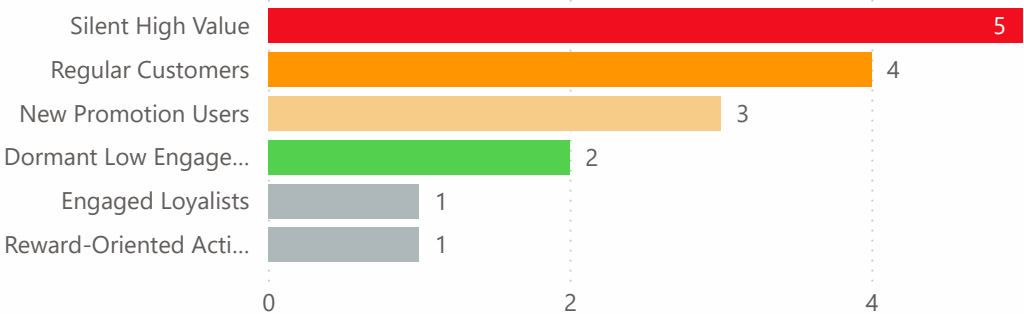
Segment	Priority Score	Campaign Type	Key Action	Est ROI
Silent High Value	5	Premium Win-Back	Personalised offer on historically flown routes; double miles	High
Regular Customers	4	Loyalty Expansion	Redemption nudges; first-redemption bonus points	Medium
New Promotion Users	3	Onboarding Journey	90-day habit-formation programme; tier benefit education	Medium
Dormant Low Engagement	2	Automated Re-Engagement	2-step email sequence; minimal budget	Low
Engaged Loyalists	1	Ambassador Programme	Exclusive access, lounge upgrades, co-branded experiences	N/A
Reward-Oriented Active	1	Reward Consistency	Multiplier events, consistency milestones	N/A

Key Recommendation

Retention budgets should be prioritized toward Silent High Value customers.

Although they represent only 4% of the customer base, they contribute disproportionately high customer value and exhibit the highest churn risk.

Recommended Retention Investment Priority

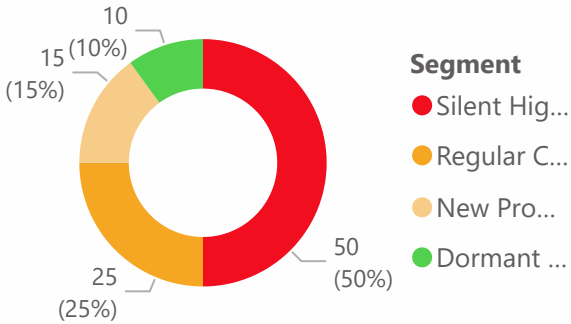


Business Impact Scenario

Reducing churn among Silent High Value customers (660 customers with an average CLV of \$17,239) from 100% to 50% would retain approximately **\$5.7 million** in historical customer value.

This estimate illustrates the potential financial impact of targeted retention interventions.

Recommended Budget Allocation



Predictive Model - Explainability and Performance

94%

Model Accuracy

0.90

Precision

0.68

Recall

0.78

F1 Score

294

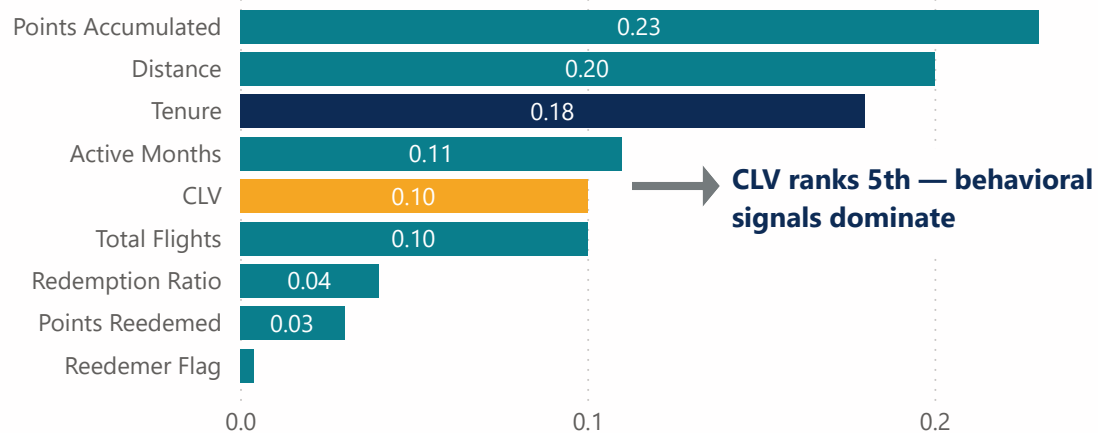
Predicted Churners

13.9%

Predicted Churn Rate

Feature Importance — What Drives Churn Prediction?

Category ● Behavioral ● Temporal ● Value-Based



Top 3 Predictors

- Points Accumulated (23%)
- Distance (20%)
- Tenure (18%)

Behavioral features account for ~61% of total predictive importance.

	Predicted Stay	Predicted Churn
Actual Stay	2618 True Negatives	34 False Positives
Actual Churn	136 False Negatives	294 True Positives

Why behavioral signals outperform CLV?

Customers with identical CLV scores show nearly the same churn rate (~34% across all quartiles).

CLV measures the past. Behavioral engagement — how often a customer flies, how consistently they show up, whether they redeem points — measures the present and predicts the future.

The model confirms what the descriptive analysis shows: CLV is a lagging indicator. Engagement is a leading one.

Only 34 loyal customers were incorrectly flagged as churn risks, minimizing unnecessary retention campaign costs.

The model correctly identified 294 future churners while maintaining 94.5% accuracy.